

GREENLIGHT PROPOSAL – INCREASE CORVINUS BANK (CB) EXPOSURE TO HIGH VALLEY GROUP

Preliminary screening material from the Business.

1. Introduction

High Valley Group is a privately owned family business established in 1992, originally as a livestock trader. From its initial core activity, the group has grown into a multinational player covering the complete value chain of livestock and agricultural production, trading, transportation and consulting. The headquarters are based in Hungary. The group employs about 800 staff.

High Valley Group's main business activities are as follows:

Trade:

The core activity is export and import of livestock on a back-to-back basis, overseen by the main operating entity of the group, HV Trade Kft. The largest share of traded livestock is cattle, in addition the group has diversified into trading pig, lamb and goat. Apart from live animals, the group trades meat and animal fodder and engages in the milk trading business as well.

Agriculture:

The agricultural arm of High Valley Group represents the bulk of its activities, more specifically:

a. Animal farms

The most significant ones are cattle and dairy cow farms. High Valley Group has the capacity to breed and fatten about 30 000 cattle, typically for periods between 3-18 months before they are sold for slaughtering (High Valley Group has no slaughterhouses). The dairy cow capacity is about 2,100 animals producing a daily average of 56tons of milk, managed by HV Dairy Kft.

b. Fodder production (HV Feed Kft)

About 70% of the fodder produced is used within High Valley Group, the rest is sold to third parties.

c. Crop growing

High Valley Group entities own or lease land in order to supply their own farms / feed production plant and to efficiently use up the manure produced (HV Farm Kft).

Transportation:

This is a crucial part of the group's integrated activity; its own fleet of 131 trucks not only serves its own logistical needs, but transportation services are also sold to third parties.

Ownership/Management:

The group has made considerable efforts to build a large corporate group structure, changing from a pure "one-man show" structure to a divisionalised business segment structure also through recent hires and resulting in the establishment of a proper group holding structure.

2. Banking relationship:

Most of the bank funding is concentrated in HV Trade Kft (the flagship entity of the Group) provided by 3 banks (X, Y and Z Banks) that also operate a collateral pool. High Valley Group refinanced this funding with a 10-year senior unsecured bond issuance in the amount of HUF 22 bn under the Hungarian National Bank's Bond Program.

The total exposure of CB is currently 1bn HUF investment loan, which was granted for establishing a new

cattle breed farm.

3. P&L (EUR ths)

High Valley Group	Year1.12.31		Year2.12.31		Year3.12.31		Year4.12.31	
Gross sales	370 941	100,0	505 518	100,0	605 742	100,0	437 216	100,0
Net sales	370 941	100,0	505 518	100,0	605 742	100,0	437 216	100,0
Changes in inventories (FG, WIP)								
Total turnover	370 941	100,0	505 518	100,0	605 742	100,0	437 216	100,0
Cost of materials/goods sold	-340 336	-91,7	-476 011	-94,2	-563 164	-93,0	-404 604	-92,5
Gross profit	30 605	8,3	29 507	5,8	42 578	7,0	32 612	7,5
Personnel expenses	-5 314	-1,4	-7 607	-1,5	-10 834	-1,8	-11 429	-2,6
Operating expenses	-6 739	-1,8	-6 025	-1,2	-10 761	-1,8	-8 870	-2,0
Depreciation and amortisation	-5 054	-1,4	-6 030	-1,2	-8 086	-1,3	-8 451	-1,9
Operating income (EBIT)	13 498	3,6	9 845	1,9	12 897	2,1	3 862	0,9
Financial result	297	0,1	112	0,0	-3 071	-0,5	-217	-0,0
Earnings bef.taxes & extraord.result	13 795	3,7	9 957	2,0	9 826	1,6	3 645	0,8
Extraordinary income			522	0,1	1 666	0,3	4 235	1,0
Extraordinary expenses	-2 673	-0,7			-2 765	-0,5	-1 091	-0,2
Pre-tax earnings	11 122	3,0	10 479	2,1	8 727	1,4	6 789	1,6
Income taxes	-615	-0,2	-2 172	-0,4	-660	-0,1	-1 108	-0,3
Profit/loss for the year	10 508	2,8	8 307	1,6	8 067	1,3	5 681	1,3
Net profit / loss	10 508	2,8	8 307	1,6	8 067	1,3	5 681	1,3

4. The business proposal:

The Business would like to broaden the business relationship with High Valley Group and proposes to provide a financing for a pig breeding farm for 26 000 pigs with an annual output of 115-135 000 pigs. The sole offtaker of the pig breeder farm's output is High Valley Group Holding, that sells annually ~1mn pigs (new investment secures its supply).

- The proposed funding structure is as follows:

The total financing volume is €15.690.824,-
of which State subsidy: €5.479.410,-
Investment loan: €10.211.414,-
W/C line: €3.000.000,-

- Collateral Structure:

1st rank pledge on real estate and new plant;

In case CB cannot provide an indicative financing offer for the new plant, High Valley Bank asks permission to share the collateral behind CB's existing 1bn investment loan with the bank that will provide the requested financing. The reason is that the new pig breeding investment will be under the same legal entity as the cattle breeding farm (financed earlier by CB).

The client has already received two indicative offers from potential banking partners.